MOCK EXAM B

Management level
Case study

May & August 2026

This examination is structured as follows:

Section (task)	Time for section (minutes)	Number of answer screens	Number of sub-tasks	% time to spend on each sub-task
1	45	1	2	(a) 60% (b) 40%
2	45	1	2	(a) 60% (b) 40%
3	45	1	2	(a) 40% (b) 60%
4	45	1	2	(a) 33% (b) 34% (c) 33%

Magent Case

Kaplan Publishing/Kaplan Financial

KAPLAN PUBLISHING

FORMULAE AND TABLES

Annuity

Present value of an annuity of £1 per annum, receivable or payable for n years, commencing in one year, discounted at r% per annum:

$$PV = \frac{1}{r}\left[1 - \frac{1}{[1+r]^n}\right]$$

Perpetuity

Present value of £1 per annum, payable or receivable in perpetuity, commencing in one year, discounted at r% per annum:

$$PV = \frac{1}{r}$$

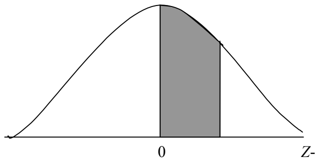
Growing Perpetuity

Present value of £1 per annum, receivable or payable, commencing in one year, growing in perpetuity at a constant rate of g% per annum, discounted at r% per annum:

$$PV = \frac{1}{r - g}$$

Area under the normal curve

This table gives the area under the normal curve between the mean and a point Z standard deviations above the mean. The corresponding area for deviations below the mean can be found by symmetry.



$Z = \frac{(x-\mu)}{\sigma}$	0.00	0.01	0.02	0.03	0.04	0.05	0.06	0.07	0.08	0.09
0.0	.0000	.0040	.0080	.0120	.0159	.0199	.0239	.0279	.0319	.0359
0.1	.0398	.0438	.0478	.0517	.0557	.0596	.0636	.0675	.0714	.0753
0.2	.0793	.0832	.0871	.0910	.0948	.0987	.1026	.1064	.1103	.1141
0.3	.1179	.1217	.1255	.1293	.1331	.1368	.1406	.1443	.1480	.1517
0.4	.1554	.1591	.1628	.1664	.1700	.1736	.1772	.1808	.1844	.1879
0.5	.1915	.1950	.1985	.2019	.2054	.2088	.2123	.2157	.2190	.2224
0.6	.2257	.2291	.2324	.2357	.2389	.2422	.2454	.2486	.2518	.2549
0.7	.2580	.2611	.2642	.2673	.2704	.2734	.2764	.2794	.2823	.2852
0.8	.2881	.2910	.2939	.2967	.2995	.3023	.3051	.3078	.3106	.3133
0.9	.3159	.3186	.3212	.3238	.3264	.3289	.3315	.3340	.3365	.3389
1.0	.3413	.3438	.3461	.3485	.3508	.3531	.3554	.3577	.3599	.3621
1.1	.3643	.3665	.3686	.3708	.3729	.3749	.3770	.3790	.3810	.3830
1.2	.3849	.3869	.3888	.3907	.3925	.3944	.3962	.3980	.3997	.4015
1.3	.4032	.4049	.4066	.4082	.4099	.4115	.4131	.4147	.4162	.4177
1.4	.4192	.4207	.4222	.4236	.4251	.4265	.4279	.4292	.4306	.4319
1.5	.4332	.4345	.4357	.4370	.4382	.4394	.4406	.4418	.4430	.4441
1.6	.4452	.4463	.4474	.4485	.4495	.4505	.4515	.4525	.4535	.4545
1.7	.4554	.4564	.4573	.4582	.4591	.4559	.4608	.4616	.4625	.4633
1.8	.4641	.4649	.4656	.4664	.4671	.4678	.4686	.4693	.4699	.4706
1.9	.4713	.4719	.4726	.4732	.4738	.4744	.4750	.4756	.4762	.4767
2.0	.4772	.4778	.4783	.4788	.4793	.4798	.4803	.4808	.4812	.4817
2.1	.4821	.4826	.4830	.4831	.4838	.4842	.4856	.4850	.4854	.4857
2.2	.4861	.4865	.4868	.4871	.4875	.4878	.4881	.4884	.4887	.4890
2.3	.4893	.4896	.4898	.4901	.4904	.4906	.4909	.4911	.4913	.4916
2.4	.4918	.4920	.4922	.4925	.4927	.4929	.4931	.4932	.4934	.4936
2.5	.4938	.4940	.4941	.4943	.4945	.4946	.4948	.4949	.4951	.4952
2.6	.4953	.4955	.4956	.4957	.4959	.4960	.4961	.4962	.4963	.4964
2.7	.4965	.4966	.4967	.4968	.4969	.4970	.4971	.4972	.4973	.4974
2.8	.4974	.4975	.4976	.4977	.4977	.4978	.4979	.4980	.4980	.4981
2.9	.4981	.4982	.4983	.4983	.4984	.4984	.4985	.4985	.4986	.4986
3.0	.49865	.4987	.4987	.4988	.4988	.4989	.4989	.4989	.4990	.4990
3.1	.49903	.4991	.4991	.4991	.4992	.4992	.4992	.4992	.4993	.4993
3.2	.49931	.4993	.4994	.4994	.4994	.4994	.4994	.4995	.4995	.4995
3.3	.49952	.4995	.4995	.4996	.4996	.4996	.4996	.4996	.4996	.4997
3.4	.49966	.4997	.4997	.4997	.4997	.4997	.4997	.4997	.4997	.4998
3.5	.49977									

Present value table

Present value of £1 i.e. $(1 + r)^{-n}$ where r = interest rate, n = number of periods until payment or receipt.

Periods (n)	Interest rates (r) 1%	2%	3%	4%	5%	6%	7%	8%	9%	10%
1	.990	.980	.971	.962	.962	.943	.935	.926	.917	.909
2	.980	.961	.943	.925	.907	.890	.873	.857	.842	.826
3	.971	.942	.915	.889	.864	.840	.816	.794	.772	.751
4	.961	.924	.888	.855	.823	.792	.763	.735	.708	.683
5	.951	.906	.863	.822	.784	.747	.713	.681	.650	.621
6	.942	.888	.837	.790	.746	.705	.666	.630	.596	.564
7	.933	.871	.813	.760	.711	.665	.623	.583	.547	.513
8	.923	.853	.789	.731	.677	.627	.582	.540	.502	.467
9	.914	.837	.766	.703	.645	.592	.544	.500	.460	.424
10	.905	.820	.744	.676	.614	.558	.508	.463	.422	.386
11	.896	.804	.722	.650	.585	.527	.475	.429	.388	.350
12	.887	.788	.701	.625	.557	.497	.444	.397	.356	.319
13	.879	.773	.681	.601	.530	.469	.415	.368	.326	.290
14	.870	.758	.661	.577	.505	.442	.388	.340	.299	.263
15	.861	.743	.642	.555	.481	.417	.362	.315	.275	.239
16	.853	.728	.623	.534	.458	.394	.339	.292	.252	.218
17	.844	.714	.605	.513	.436	.371	.317	.270	.231	.198
18	.836	.700	.587	.494	.416	.350	.296	.250	.212	.180
19	.828	.686	.570	.475	.396	.331	.277	.232	.194	.164
20	.820	.673	.554	.456	.377	.312	.258	.215	.178	.149

Periods (n)	Interest rates (r) 11%	12%	13%	14%	15%	16%	17%	18%	19%	20%
1	.901	.893	.885	.877	.870	.862	.855	.847	.840	.833
2	.812	.797	.783	.769	.756	.743	.731	.718	.706	.694
3	.731	.712	.693	.675	.658	.641	.624	.609	.593	.579
4	.659	.636	.613	.592	.572	.552	.534	.516	.499	.482
5	.593	.567	.543	.519	.497	.476	.456	.437	.419	.402
6	.535	.507	.480	.456	.432	.410	.390	.370	.352	.335
7	.482	.452	.425	.400	.376	.354	.333	.314	.296	.279
8	.434	.404	.376	.351	.327	.305	.285	.266	.249	.233
9	.391	.361	.333	.308	.284	.263	.243	.225	.209	.194
10	.352	.322	.295	.270	.247	.227	.208	.191	.176	.162
11	.317	.287	.261	.237	.215	.195	.178	.162	.148	.135
12	.286	.257	.231	.208	.187	.168	.152	.137	.124	.112
13	.258	.229	.204	.182	.163	.145	.130	.116	.104	.093
14	.232	.205	.181	.160	.141	.125	.111	.099	.088	.078
15	.209	.183	.160	.140	.123	.108	.095	.084	.074	.065
16	.188	.163	.141	.123	.107	.093	.081	.071	.062	.054
17	.170	.146	.125	.108	.093	.080	.069	.060	.052	.045
18	.153	.130	.111	.095	.081	.069	.059	.051	.044	.038
19	.138	.116	.098	.083	.070	.060	.051	.043	.037	.031
20	.124	.104	.087	.073	.061	.051	.043	.037	.031	.026

Cumulative present value of 1.00 unit of currency per annum.

Receivable or payable at the end of each year for n years $\frac{1-(1+r)^{-n}}{r}$.

Periods (n)	Interest rates (r)									
	1%	2%	3%	4%	5%	6%	7%	8%	9%	10%
1	0.990	0.980	0.971	0.962	0.952	0.943	0.935	0.926	0.917	0.909
2	1.970	1.942	1.913	1.886	1.859	1.833	1.808	1.783	1.759	1.736
3	2.941	2.884	2.829	2.775	2.723	2.673	2.624	2.577	2.531	2.487
4	3.902	3.808	3.717	3.630	3.546	3.465	3.387	3.312	3.240	3.170
5	4.853	4.713	4.580	4.452	4.329	4.212	4.100	3.993	3.890	3.791
6	5.795	5.601	5.417	5.242	5.076	4.917	4.767	4.623	4.486	4.355
7	6.728	6.472	6.230	6.002	5.786	5.582	5.389	5.206	5.033	4.868
8	7.652	7.325	7.020	6.733	6.463	6.210	5.971	5.747	5.535	5.335
9	8.566	8.162	7.786	7.435	7.108	6.802	6.515	6.247	5.995	5.759
10	9.471	8.983	8.530	8.111	7.722	7.360	7.024	6.710	6.418	6.145
11	10.368	9.787	9.253	8.760	8.306	7.887	7.499	7.139	6.805	6.495
12	11.255	10.575	9.954	9.385	8.863	8.384	7.943	7.536	7.161	6.814
13	12.134	11.348	10.635	9.986	9.394	8.853	8.358	7.904	7.487	7.103
14	13.004	12.106	11.296	10.563	9.899	9.295	8.745	8.244	7.786	7.367
15	13.865	12.849	11.938	11.118	10.380	9.712	9.108	8.559	8.061	7.606
16	14.718	13.578	12.561	11.652	10.838	10.106	9.447	8.851	8.313	7.824
17	15.562	14.292	13.166	12.166	11.274	10.477	9.763	9.122	8.544	8.022
18	16.398	14.992	13.754	12.659	11.690	10.828	10.059	9.372	8.756	8.201
19	17.226	15.679	14.324	13.134	12.085	11.158	10.336	9.604	8.950	8.365
20	18.046	16.351	14.878	13.590	12.462	11.470	10.594	9.818	9.129	8.514

Periods (n)	Interest rates (r)									
	11%	12%	13%	14%	15%	16%	17%	18%	19%	20%
1	0.901	0.893	0.885	0.877	0.870	0.862	0.855	0.847	0.840	0.833
2	1.713	1.690	1.668	1.647	1.626	1.605	1.585	1.566	1.547	1.528
3	2.444	2.402	2.361	2.322	2.283	2.246	2.210	2.174	2.140	2.106
4	3.102	3.037	2.974	2.914	2.855	2.798	2.743	2.690	2.639	2.589
5	3.696	3.605	3.517	3.433	3.352	3.274	3.199	3.127	3.058	2.991
6	4.231	4.111	3.998	3.889	3.784	3.685	3.589	3.498	3.410	3.326
7	4.712	4.564	4.423	4.288	4.160	4.039	3.922	3.812	3.706	3.605
8	5.146	4.968	4.799	4.639	4.487	4.344	4.207	4.078	3.954	3.837
9	5.537	5.328	5.132	4.946	4.772	4.607	4.451	4.303	4.163	4.031
10	5.889	5.650	5.426	5.216	5.019	4.833	4.659	4.494	4.339	4.192
11	6.207	5.938	5.687	5.453	5.234	5.029	4.836	4.656	4.486	4.327
12	6.492	6.194	5.918	5.660	5.421	5.197	4.968	4.793	4.611	4.439
13	6.750	6.424	6.122	5.842	5.583	5.342	5.118	4.910	4.715	4.533
14	6.982	6.628	6.302	6.002	5.724	5.468	5.229	5.008	4.802	4.611
15	7.191	6.811	6.462	6.142	5.847	5.575	5.324	5.092	4.876	4.675
16	7.379	6.974	6.604	6.265	5.954	5.668	5.405	5.162	4.938	4.730
17	7.549	7.120	6.729	6.373	6.047	5.749	5.475	5.222	4.990	4.775
18	7.702	7.250	6.840	6.467	6.128	5.818	5.534	5.273	5.033	4.812
19	7.839	7.366	6.938	6.550	6.198	5.877	5.584	5.316	5.070	4.843
20	7.963	7.469	7.025	6.623	6.259	5.929	5.628	5.353	5.101	4.870

Cost---
Production costs----current set up---toyota Hilux as fortuner
New machinery and equipment----extimate these costs
Personnel in the production
Plan for overtime

Distributions costs-------current channels

Marketed - - - -channels and associated

TASK 1 (45 minutes)

TRIGGER

Elizabeth Maenda, Cartn's Senior Financial Manager, stops by your workspace and hands you an extract from a competitor's annual report, which includes some segmental analysis data:

"Over the last couple of years, Pack-Up has begun producing and selling semi-rigid trays and boxes as well as cartons and tubs in the Harrland market. Its results for trays have been very promising. Cartn's Board is considering moving into this attractive market. We would initially limit ourselves to sales in Harrland, with the scope of expanding the project to other countries if it is successful.

Drivers of revenue
Demand/quantity-----------research
Price-------price penetration----price skim---

differentiate our trays----chrge high

Maria Baguero, our Finance Director, has asked me to prepare a briefing for further discussion and I need you to draft the following sections:

- Firstly, identify and evaluate the challenges associated with predicting costs and revenues for this new range.

[sub-task (a) = 60%]

- Secondly, evaluate the usefulness of Pack-Up's segmental analysis as a basis for addressing those challenges."

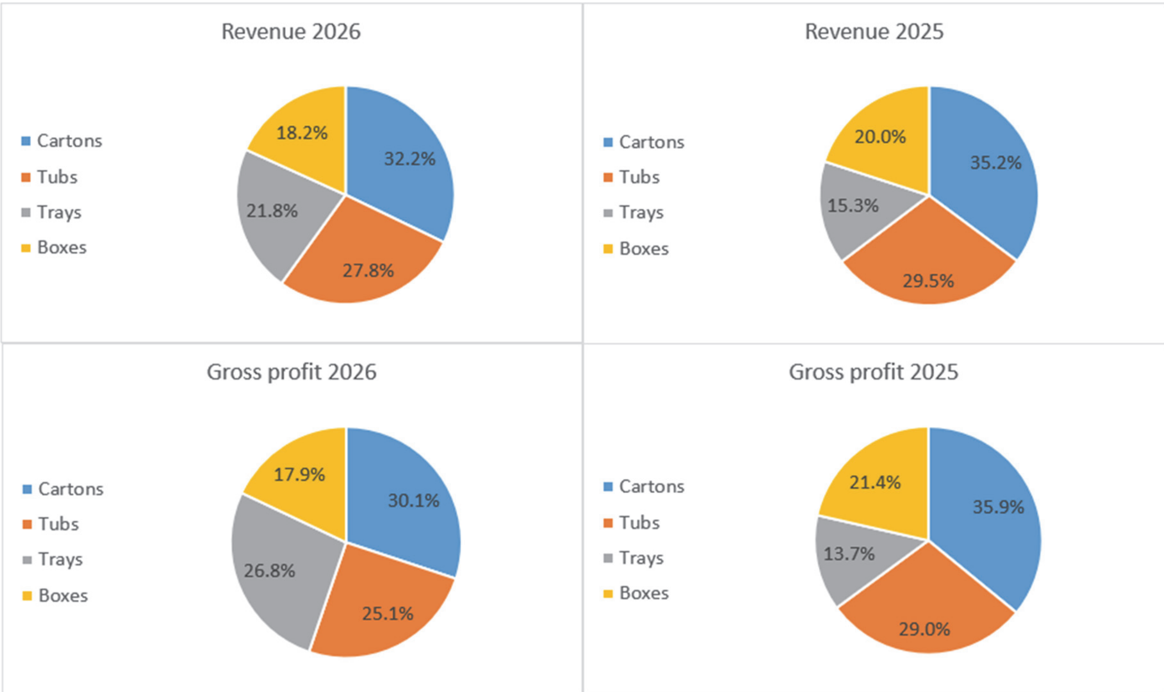
[sub-task (b) = 40%]

REFERENCE MATERIAL

Extract from Pack-Up annual report – segmental analysis of performance:

Item	Year ended 31/03/26		Year ended 31/03/25	
	H$ millions	%	H$ millions	%
Revenue				
Cartons	84.6	32.2%	81.5	35.2%
Tubs	73.1	27.8%	68.4	29.5%
Trays	57.4	21.8%	35.5	15.3%
Boxes	47.9	18.2%	46.3	20.0%
	263.0		231.7	
Gross profit				
Cartons	17.6	30.1%	17.1	35.9%
Tubs	14.7	25.1%	13.8	29.0%
Trays	15.7	26.8%	6.5	13.7%
Boxes	10.5	17.9%	10.2	21.4%
	58.5		47.6	

zero sum game



TASK

Prepare the work that Elizabeth has requested. **(Time 45 minutes)**

TASK 2 (45 minutes)

TRIGGER

A month has passed. Cartn's Board has decided to proceed with the development of the range of semi-rigid trays. You receive the following email:

To: Financial Manager

From: Elizabeth Maenda

Date: Today

Subject: Cartn trays

I have attached a copy of a Board minute from the last meeting when the production of trays was discussed. I need two things from you:

- Recommend, with reasons, the ways in which we might improve the Product Development team's engagement with the development of this range of products.

60% x 25 = 15 marks

[sub-task (a) = 60%]

- Identify the challenges associated with setting a suitable transfer price for the time spent by Production department staff assisting the Product Development team and recommend, with reasons, how those challenges might be overcome.

[sub-task (b) = 40%]

Regards,

Elizabeth

REFERENCE MATERIAL

Extract from Board minutes

Ways:
1. Incentives----motivate

Wofai Eko, Director of Product Development, was invited to report on the progress his Product Development team has made relating to Cartn's new range of semi-rigid trays. He brought the following matters to the Board's attention:

Moving out comfort zone--
Resitance to change

- Product Development team staff tasked with allocating time to work on this project have proved reluctant to focus on it. Most of the team have been with the company for many years developing our cartons and tubs and this is the first major change for some time in the products we offer.

Mr Eko believes that the team have the necessary technical expertise to source appropriate materials and create good quality trays, but they lack the necessary interest to concentrate on the task.

- Mr Eko's Product Development team has been struggling to obtain the necessary cooperation from the Production department. The team requires the expertise of the Production department to help identify and solve problems associated with manufacturing the trays. For example, the production machinery will need the capacity to change the moulding pattern of the trays dependent on customer needs. The team requires input from Production to determine the best, most efficient production machinery that should be selected to produce the trays. Set what type of goals?
Set common goals

- Larisa Nikitina, the Production Manager, complained that the Product Development department makes too many requests for assistance, and she has told her staff to ignore any further questions relating to tray production until an acceptable transfer price for Production Department staff time can be put in place. Without such a transfer price, she said, it is impossible to meet strict production cost targets.

Transfer price to be set

At present, the Production department is only permitted to charge the Product Development department for the salary costs associated with time spent on providing advice. Ms Nikitina believes that the Product Development department finds it cheap and convenient to pass all problems to Production instead of dealing with simple matters internally. There are also concerns about the effectiveness of the Production department caused by this distraction from their own work.

Ms Nikitina has suggested that the Product Development department should engage a specialist consultancy firm to advise on the issues they encounter.

TASK

Prepare the work that Elizabeth has requested. **(Time 45 minutes)**

TASK 3 (45 minutes)

TRIGGER

A month has passed. Cartn's Board has resolved the problems that threatened to delay the design of the new range of trays. You receive the following email:

From: Elizabeth Maenda

To: Financial Manager

Subject: **Cartn trays**

Hi,

I have forwarded an email that I have received from Mario Baquero.

Mario requires a response from me. I need your help with the following:

- Firstly, please identify and evaluate the factors associated with debt and equity that are relevant to Cartn's decision concerning the financing of the new plant and equipment and the inventory. Your evaluation should take Cartn's current financial position into account.

[sub-task (a) = 40%]

- Secondly, identify the impact that the new range will have on our integrated reporting capitals: Financial, Manufactured, Intellectual, Human, Social and Relationship, and Natural.

[sub-task (b) = 60%]

Elizabeth

REFERENCE MATERIAL

To: Elizabeth Maenda, Senior Financial Manager

From: Mario Baquero, Finance Director

Fwd: **Cartn trays**

Hi Elizabeth,

The initial development work on the Cartn tray products is now complete. We will manufacture the trays from an innovative, environmentally friendly material produced by a new supplier. The material is produced from agricultural waste (wheat straw), which is durable and safe to use in microwaves.

We will need to invest in some new plant and equipment to produce the trays, which require moulding to designs that are bespoke to customer requirements.

Alison Cruikshank, our Operations Director, estimates that the new equipment will require an investment of H$35 million. We will also require a further H$10m for the additional inventory of raw materials for the range, although we expect this value to decrease over time as our production process becomes more efficient.

The Board has decided to include the development and production of tray products in our Integrated Report within the next annual financial statements and reports. As you know, this will require the consideration of six capitals: Financial, Manufactured, Intellectual, Human, Social and Relationship, and Natural.

Mario

TASK

Prepare a response to Elizabeth's request. **(Time 45 minutes)**

TASK 4 (45 minutes)

TRIGGER

Two weeks later, Elizabeth Maenda stops by your workspace. She places a document on your desk:

"Our Product Development Department has overcome its initial problems relating to the production of trays. We still have to make some important decisions about this product range.

I have attached an extract of the recent Board minutes.

I have to brief Mario on several issues before the next Board meeting. I need you to draft a paper for me that covers the following:

- Firstly, our Board has still not made a final decision on whether to focus on food manufacturers or food consumers in the final development and marketing of the range of trays.

Please explain how that decision will affect the management of the project to develop and launch the range.

[sub-task (a) = 33%]

- Secondly, discuss the approaches that the Board should take with regard to setting prices for the range of trays if the decision is to place food consumers as the focus of the range.

[sub-task (b) = 34%]

- Thirdly, identify the key product and product reputation risks associated with developing this range for both a focus on food manufacturers and consumers in its promotion, justifying your selection."

[sub-task (c) = 33%]

REFERENCE MATERIAL

Extract from Board Minutes

Haitham Amer, Marketing Director: "Let me read you an extract from Harrland Food Retailers Magazine that we should consider:

> One of the latest trends identified by market research is that many consumers are prioritising purchases whereby secondary packaging is kept to a minimum or not present at all. They feel that it is important that this more environmentally friendly approach is taken by food manufacturers. Consumer groups are lobbying for the reduction of secondary packaging and an online Parliamentary petition about it has generated enough signatures to require the Harrland government to debate it.
>
> We spoke to the Sales Director of Abacab Chilled Products, who said "we have led the field in moving to more environmentally friendly materials in the packaging of our products. However, secondary packaging acts as protection for the food and gives us the ability to provide other valuable information to consumers, such as nutrition information and cooking instructions that are easy to read. It's possible to reduce the amount of secondary packaging, but this would most likely increase the price of the food because of the changes we would need to make to primary packaging."

We should discuss whether to focus our tray design on reducing the need for secondary packaging to appeal to consumers and potentially get ahead of changes in legislation, instead of appealing only to the needs of food manufacturers, or whether to produce two types of products so that we can appeal to both consumers and food producers."

Alison Cruikshank, Operations Director: "That would potentially lead to changes in the production process, including the ability to print directly onto the material of the trays themselves, which was not planned for. It would be inefficient and require too much factory space to develop two ranges, at least initially."

Haitham Amer, Marketing Director: "We need to decide soon. We are about to produce some prototype designs and start the process of locking in our production process requirements for them."

TASK

Prepare the work that Elizabeth has requested. **(Time 45 minutes)**